AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

APRIL/ MAY 2018

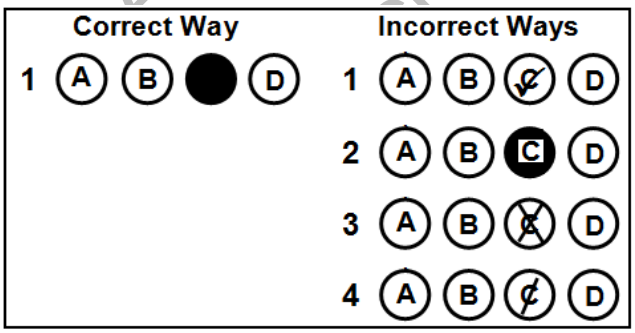
Principles of Accounting Paper I

Time: 35 minutes Marks: 25

AKU-EB May 2018 for Teaching & Learning Only

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Beenish is the owner of a boutique. She owns the following assets as on January 01, 2017.

Table I:

Particulars	Amount (Rs)
Air conditioners (cost)	680,000
Building (cost)	1,200,000
Sewing and stitching machines (cost)	350,000

The information related to depreciation of these assets as on January 01, 2017 is as under:

Table II:

Assets	Accumulated Depreciation	Depreciation Method
Air conditioners	Rs 120,000	15% diminishing balance method
Building	Rs 480,000	10% straight line method
Sewing and stitching machines	Rs 145,000	Production method; expected life of 700,000 units

Use table I and table II, to answer Q.1, Q.2, Q.3 and Q.4.

1. If 28,000 units have been stitched during the year 2017, then the amount of depreciation, for the year 2017, on sewing and stitching machines will be

   A. Rs 5,800
   B. Rs 14,000
   C. Rs 28,000
   D. Rs 56,000

2. The book value of the air conditioners as on January 01, 2017 is

   A. Rs 84,000
   B. Rs 204,000
   C. Rs 476,000
   D. Rs 560,000

3. The accumulated amount of depreciation on the building as on December 31, 2017 will be

   A. Rs 48,000
   B. Rs 120,000
   C. Rs 600,000
   D. Rs 720,000

AKU-EB May 2018 for Teaching & Learning Only

4. An air conditioner having the cost of Rs 180,000 and an accumulated depreciation of Rs 40,000 on January 01, 2017 was disposed-off for Rs 128,000 on June 30, 2017.

   If Beenish charges full year's depreciation in the year of disposal, then the gain/ loss on disposal of the air conditioner will be

   A. loss of Rs 9,000
   B. loss of Rs 1,500
   C. gain of Rs 9,000
   D. gain of Rs 1,500

5. AG Handicrafts is a wholesaler of hand made products. Since the business sells goods on credit, it maintains an allowance (provision) for doubtful (bad) debts account for credit customers.

   The accounting concept/ principle that binds AG Handicrafts to create allowance (provision) for doubtful (bad) debts account is known as

   A. cost concept.
   B. accruals principle.
   C. business entity concept.
   D. going concern principle.

6. The following data has been extracted from the accounting records of Farzana Sons as on January 01, 2017.

   - Trade receivables (accounts receivable) Rs 50,000
   - Allowance (provision) for doubtful (bad) debts Rs 1,000

   The policy of the business is to estimate allowance (provision) for doubtful (bad) debts @ 2% each year.

   The amount of net trade receivables (accounts receivable) that will appear in the statement of financial position (balance sheet) as on December 31, 2017 will be

   A. Rs 1,000
   B Rs 49,000
   C. Rs 50,000
   D. Rs 51,000

AKU EB May 2018 for Teaching & Learning Only

7. The closing entry for sales revenue will be

	Particulars	P.R.	Debit	Credit
A	Sales revenue		XXX	
	Purchases			XXX
B	Expense and revenue summary		XXX	
	Sales revenue			XXX
C	Sales revenue		XXX	
	Expense and revenue summary			XXX
D	Purchases		XXX	
	Sales revenue			XXX

8. The unadjusted net profit calculated by Huzaifa Traders as on June 30, 2017 was Rs 163,000. The following data needs to be adjusted on June 30, 2017.

- Rent received of Rs 6,700 was not recorded in the books.
- Depreciation of Rs 7,500 is to be charged on the machine.

The adjusted net profit of Huzaifa Traders for the year ended June 30, 2017 will be

A. Rs 148,800
B. Rs 162,200
C. Rs 163,800
D. Rs 177,200

9. Which of the following forms of advance is considered as a liability?

A. Advance tax paid
B. Advance paid to suppliers
C. Advance salaries given to staff
D. Advance received from customer

AKU-EDU May 2018 for Teaching & Learning Only

10. The trial balance of a business shows salary expense of Rs 25,000. At the year end, the adjusting data reflects an accrued salary of Rs 3,000.

The adjusting entry that will be made by the business is

	Particulars	P.R.	Debit	Credit
A	Salary expense		3,000	
	Prepaid salary			3,000
B	Salary payable		3,000	
	Salary expense			3,000
C	Salary expense		3,000	
	Salary payable			3,000
D	Prepaid salary		3,000	
	Salary expense			3,000

11. Zameer Traders ordered its accountant to record customer response (satisfaction) in the books of accounts. However, on the basis of an accounting principle, the accountant refused to do so.

The accounting principle that prevents the accountant from recording customer response (satisfaction) in the accounting books is known as

A. realization.
B. materiality.
C. business entity.
D. money measurement.

12. Saleem is a local trader of rice. He sets the selling price 20% above the cost.

If he purchases 50kg of rice at Rs 110 per kg, then his total profit will be

A. Rs 132
B. Rs 1,100
C. Rs 5,500
D. Rs 6,600

AKU-EB May 2018 for Teaching & Learning Only

13. The following details have been extracted from the books of Shams Traders as on September 30, 2017.

Particulars	Amount (Rs)
Sales revenue	240,000
Marketing expenses	21,700
Administrative expenses	37,300

Net profit is 15% of sales revenue.

The amount of cost of sales (cost of goods sold) from the given information is

A. Rs 95,000
B. Rs 145,000
C. Rs 181,000
D. Rs 204,000

14. In single entry accounting system, it is impossible to prepare

A. trial balance.
B. statement of affairs.
C. receipt and payment account.
D. income and expenditure account.

15. Shifa is the owner of a restaurant. The details extracted from her accounting books are as under:

Particulars	Amount (Rs)
Capital at January 01, 2017	550,000
Additional investment made during the year	30,000
Drawings during the year	65,000
Net profit for the year ended December 31, 2017	335,000

The amount of Shifa's capital as on December 31, 2017 is

A. Rs 790,000
B. Rs 850,000
C. Rs 920,000
D. Rs 980,000

AKUEB May 2018 for Teaching & Learning Only

16. Anwar Sons, a confectionary distributor, paid Rs 3,000 as license fee to one of his truck drivers, but due to misunderstanding, the bookkeeper recorded the amount to the transportation expenditure.

The correcting entry to rectify the given error will be

	Particulars	P.R.	Debit	Credit
A	License fee		3,000	
	Transportation expense			3,000
B	License fee		3,000	
	Cash			3,000
C	Transportation expense		3,000	
	License fee			3,000
D	Cash		3,000	
	Transportation expense			3,000

17. Mr Ameer wrongly entered the amount received from Sameer Traders in the ledger of Sumair Traders.

Such an error will be classified as error of

A. principle.
B. omission.
C. commission.
D. complete reversal.

AKU-EB May 2018 for Teaching & Learning Only

18. Zeeshan Traders received Rs 16,000 as rent for the month of January 2017. The accountant of the business debited the rent expense account and credited the cash account with Rs 16,000.

The correcting entry for the given error will be

	Particulars	P.R.	Debit	Credit
A	Cash		16,000	
	Rent expense			16,000
B	Cash		16,000	
	Rent income			16,000
C	Rent expense		16,000	
	Rent income		16,000	
	Cash			32,000
D	Cash		32,000	
	Rent expense			16,000
	Rent income			16,000

19. Ali Traders, upon preparation of trial balance, came to know that the trail balance did not agree with Rs 1,340. After initial review, the following errors were identified by the owner.

- Sales ledger was overcast by Rs 370.
- Purchases of Rs 440 was recorded as purchase of furniture.
- Expense paid Rs 530 was not recorded in the books.

Suspense Account

	Balance b/d	1,340

The ending balance of the suspense account after correcting the given errors will be

A. Rs 810
B. Rs 900
C. Rs 970
D. Rs 1,710

AKU-EB May 2018 for Teaching & Learning Only

20. The amount of purchases return of Rs 8,500 was wrongly entered in the sales account.

The general journal entry to rectify the above error will be

	Particular	P.R.	Debit	Credit
A	Sales		8,500	
	Purchase returns			8,500
B	Purchases returns		8,500	
	Sales			8,500
C	Purchases returns		17,000	
	Sales			17,000
D	Sales		17,000	
	Purchase returns			17,000

21. During the year 2016, Ali Sports Club received Rs 36,000 as subscription fee from its members. Other accounting information is as follows.

Particulars	January 01, 2016	December 31, 2016
Subscription in advance	Rs 3,000	Rs 4,000
Subscription in arrears	Rs 5,000	Rs 2,000

What is the amount of subscription to be included in income and expenditure account for the year 2016?

A. Rs 32,000
B. Rs 36,000
C. Rs 40,000
D. Rs 41,000

AKU EB May 2018 for Teaching & Learning Only

22. Following details have been extracted from the books of Sahafa Trust, a non-profit organisation.

Particulars	Amount (Rs)
Current assets	150,000
Non-current assets (fixed assets)	267,000
Current liabilities	38,000
Long term liabilities	164,000

The amount of accumulated fund for Sahafa Trust from the given information will be

A. Rs 202,000
B. Rs 215,000
C. Rs 417,000
D. Rs 619,000

23. The excess of expenditure over income for non-profit organisation is termed as

A. profit.
B. deficit.
C. interest.
D. surplus.

24. Which of the following can be classified as non-profit business organisation?

A. Edhi Welfare Trust
B. State Life Insurance
C. Khushali Bank Limited
D. United Nations Organisation

25. Kashif Education Network is a non-profit organisation. Trustees purchased books of Rs 68,000 for the library of Kashif Education Network.

The given transaction will be recorded in receipt and payment account and statement of financial position (balance sheet) of Kashif Education Network as

	Receipt and Payment Account	Statement of Financial Position (Balance Sheet)
A	Debit	Current assets
B	Debit	Non-current assets (fixed assets)
C	Credit	Current assets
D	Credit	Non-current assets (fixed assets)

AKU-EB May 2018 for Teaching & Learning Only

END OF PAPER

Please use this page for rough work

AKU-EB May 2018
for
Teaching & Learning Only

Please use this page for rough work

AKU-EB May 2018
for
Teaching & Learning Only